

case can the trustees purchase from the tenant for life himself? It is now settled that trustees with a similar power of sale and exchange can either sell to or exchange with the tenant for life (*d*), but this has always been regarded as hardly defensible on principle, and as an exception to the general rule. An exchange is in substance nothing more than a mutual sale, and when the simple case of a purchase by trustees from a tenant for life with power of consenting comes before the Court, it may be upheld, but in the meantime it would not be prudent for trustees, before actual decision, to incur the risk.

18. **Equity of redemption.**—Trustees, without a special power for the purpose, ought not *to purchase [*504] an *equity of redemption* merely (*a*), for the mortgagee might seek to foreclose, when there might be a difficulty of redeeming, or might sell over the heads of the trustees under the power of sale, or might consolidate his mortgage with some other mortgage on another estate of the mortgagor, and so oblige the trustees to redeem both.

19. **Should always get the legal estate.**—It would not be too much to lay down the rule broadly that trustees should never purchase without getting the *legal estate*.

20. **Repairs and improvements.**—A trust to buy an estate will not justify the investment of part of the trust fund upon a purchase, and the expenditure of a further part upon *repairs and improvements* however substantial either of the purchased estate (*b*), or of an estate settled to the like uses (*c*). But in a recent case where money was bequeathed

(*d*) *Howard v. Ducane*, T. & R. 81.

[(*a*) *Ex parte Craven*, 17 L. J. N. S. Ch. 215; *Re Galbraith*, 10 I. R. Eq. 368, where the Court held that monies paid into Court under the Lands Clauses Consolidation Act, 1845, ought not to be re-invested in the purchase of an equity of redemption.]

(*b*) *Bostock v. Blakeney*, 2 B. C. C. 653; *Drake v. Trefusis*, 10 L. R. Ch. App. 364.

(*c*) *Dunne v. Dunne*, 3 Sm. & G. 22; *Brunskill v. Caird*, 16 L. R. Eq. 493.

But the Court by a liberal construction of the Lands Clauses Consolidation Act, and the Leases and Sales of Settled Estates Act has assumed the jurisdiction of applying money stamped with a trust for purchase of real estate, in the improvement of estates settled to the uses of the estates directed to be purchased. See *Re Clitheroe's Trust*, W. N. 1869, p. 26; *Re Johnson's Trust*, 8 L. R. Eq. 348; *Re Incumbent of Whitfield*, 1 J. & H. 610; *Re Dummer's Will*, 2 De G. J. & S. 515; *Ex parte Rector of*